



SD Worx: A Strategic Overview

An analysis of SD Worx's strategic direction, growth drivers, market positioning, and differentiation across key dimensions, focusing on recent activities and financial performance in 2024.

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The Ansoff Matrix: SD Worx's Strategic Dishes

SD Worx employs a multi-faceted strategy across the Ansoff Matrix, focusing heavily on expansion and innovation.



Market Penetration

Strengthening position in existing markets (e.g., Poland) and securing additional one-off revenues in Belgium (social elections support).



Market Development

Expanding geographically with existing products via five 2024 acquisitions, including Romanian Software and F2A (Italy), making Romania the 18th country with proprietary software.



Product Development

Introducing new solutions to existing customers: Protime acquired Sheepblue (AI scheduling) and SD Worx Buddy (pioneering continuous payroll for German SMEs).



Diversification

Acquisition of TMF Jobs (cross-border workers, accommodation, transport) expands both service offering and specialised market focus.

Growth Strategy: Buy-and-Build Policy

SD Worx pursues international ambitions through a strategic "buy-and-build" policy, balancing internal development and acquisitions.

€74.3M

Organic Growth

Solid internal growth, representing a 9.1% increase year-on-year.

€23.2M

Acquisition Revenue

Contribution from new 2024 acquisitions (F2A, Romanian Software).

€94.9M

Net Result 2024

Positive impact from the strategic policy and sustained operational performance.

Organic Example: SD Worx Buddy

Pioneering payroll software for German SMEs, developed with Teal Partners. It offers real-time, continuous payroll processing, allowing HR teams to focus on strategic priorities.



Acquisition Example: F2A Takeover

The biggest acquisition to date (end of 2024), F2A is the Italian market leader in HR and payroll services. Rationale: Geographical expansion, market leadership, and enhanced offering in an integrated European market.



Key Trends Shaping the HR Market

SD Worx monitors evolving trends via its Navigator Series research, positioning itself as an expert and technology leader.



Sustainable HRM (SHRM)

Shift to a long-term perspective, including human well-being, governance, and societal progress.



ESG & Regulation

Preparing for ESG reporting (CSRD) by gathering data on diversity, equity, and well-being to build human-centred policies.



AI Integration

Smart use of AI and people analytics for advanced workforce planning and talent management.



Flexibility & Trust

Demand for work-life balance and flexible practices like "workation" policies to attract and retain talent.

 **Impact:** SD Worx leverages its AI Centre of Excellence to automate tasks (saving over 45,000 hours) and allows specialists to focus on high-value customer interactions.

SD Worx Differentiation: The Five Dimensions

SD Worx differentiates itself by balancing technological innovation with a human-centric, "glocal" service model.



Strategic Focus and Key Partnerships

SD Worx primarily follows an SO (Strengths-Opportunities) strategy, leveraging its strengths (technology, expertise) to seize market opportunities (acquisitions).

Five Families of Strategy Applied

- Differentiation (Glocal Strategy)
- Renovation/Innovation (AI Centre of Excellence, SD Worx Buddy)
- Re-segmentation (SME vs. Large Enterprise offerings)
- Business Process Optimisation (45,000+ hours saved via automation)
- Cost Leadership (Efficiency gains through automation)



Importance of Partnerships

Partnerships are crucial for innovation, international growth, and service quality. SD Worx was named SAP's Standout Collaboration Partner in 2024.

1

Technology Providers

SAP Gold Partner for HR architecture and payroll solutions.

2

Technology Developers

Joint ventures, e.g., co-development of SD Worx Buddy with Teal Partners.

3

Investment Companies

CVC (first external shareholder) supports international growth and acquisitions.

4

Research & Consortia

Collaborations (e.g., Antwerp Management School, SEISMEC) for thought leadership in Sustainable HRM.